# The Culture of Business, Finance and the Economy

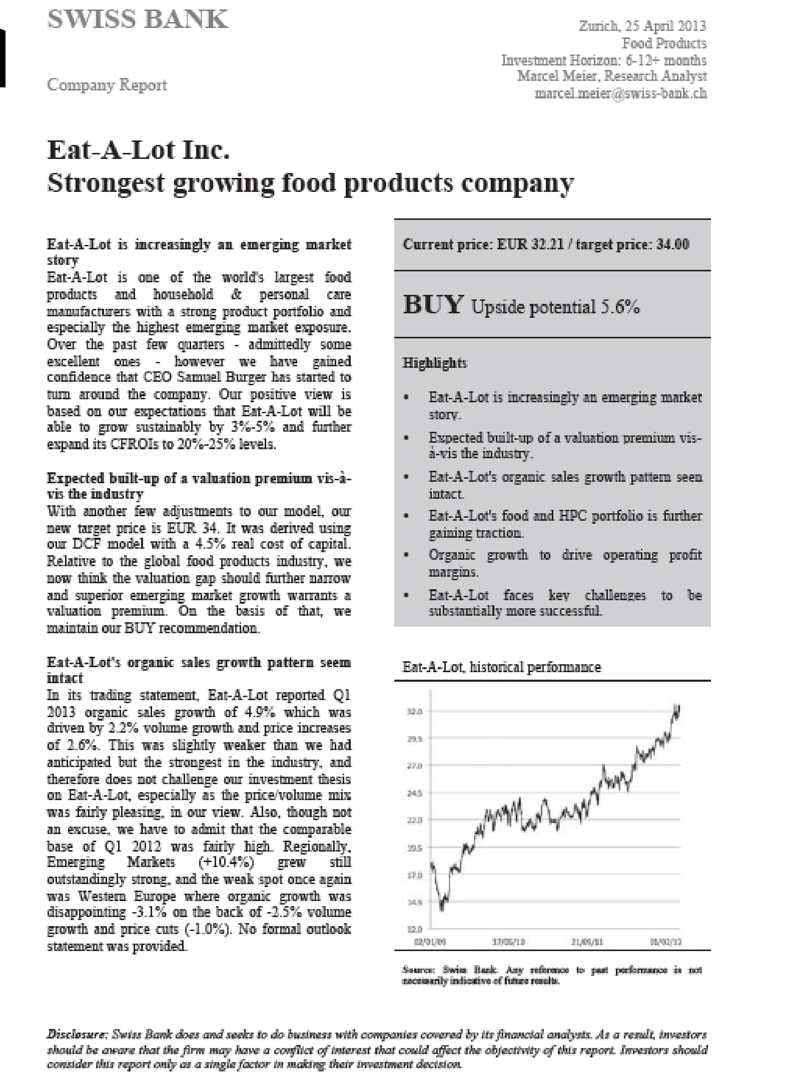
# Class 15 – 12 may

**Dr. Juan M. del Nido**

**First semester 2026**

# Today

## Financial Analysts II: The stories that hold the economy togeth

SWISS BANK

Company Report

Zurich, 25 April 2013
Food Products
Investment Horizon: 6-12+ months
Marcel Meier, Research Analyst
marcel.meier@swiss-bank.ch

**Eat-A-Lot Inc.**
**Strongest growing food products company**

**Eat-A-Lot is increasingly an emerging market story**
Eat-A-Lot is one of the world's largest food products and household & personal care manufacturers with a strong product portfolio and especially the highest emerging market exposure. Over the past few quarters - admittedly some excellent ones - however we have gained confidence that CEO Samuel Burger has started to turn around the company. Our positive view is based on our expectations that Eat-A-Lot will be able to grow sustainably by 3%-5% and further expand its CFROIs to 20%-25% levels.

**Expected built-up of a valuation premium vis-à-vis the industry**
With another few adjustments to our model, our new target price is EUR 34. It was derived using our DCF model with a 4.5% real cost of capital. Relative to the global food products industry, we now think the valuation gap should further narrow and superior emerging market growth warrants a valuation premium. On the basis of that, we maintain our BUY recommendation.

**Eat-A-Lot's organic sales growth pattern seem intact**
In its trading statement, Eat-A-Lot reported Q1 2013 organic sales growth of 4.9% which was driven by 2.2% volume growth and price increases of 2.6%. This was slightly weaker than we had anticipated but the strongest in the industry, and therefore does not challenge our investment thesis on Eat-A-Lot, especially as the price/volume mix was fairly pleasing, in our view. Also, though not an excuse, we have to admit that the comparable base of Q1 2012 was fairly high. Regionally, Emerging Markets (+10.4%) grew still outstandingly strong, and the weak spot once again was Western Europe where organic growth was disappointing -3.1% on the back of -2.5% volume growth and price cuts (-1.0%). No formal outlook statement was provided.

**Current price: EUR 32.21 / target price: 34.00**

**BUY** Upside potential 5.6%

**Highlights**

- Eat-A-Lot is increasingly an emerging market story.
- Expected built-up of a valuation premium vis-à-vis the industry.
- Eat-A-Lot's organic sales growth pattern seen intact.
- Eat-A-Lot's food and HPC portfolio is further gaining traction.
- Organic growth to drive operating profit margins.
- Eat-A-Lot faces key challenges to be substantially more successful.

Eat-A-Lot, historical performance

Source: Swiss Bank. Any reference to past performance is not necessarily indicative of future results.

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Figure 3. Example of a company report (first page)

# Recap
## Financial Analysts I: what they are for and how to become one


# STORIES OF CAPITALISM

## INSIDE THE ROLE OF FINANCIAL ANALYSTS

STEFAN LEINS

# Fundamental Analysis*

**A market practice that aims to valuate stocks, bonds, and other financial products on the basis of underlying financial data and macroeconomic data:**

**the intrinsic value**

***There are other types**

# Fundamental Analysis

# Intrinsic Value

# Vs.

# Market Value

# Assumption: corporations have an intrinsic value and that this value can be known, or at least estimated, by an analyst

# How?

**By differentiating intrinsic value and market value, fundamental analysts create a space in which calculation, interpretation, and narration become indispensable. The role of financial analysts as experts: it's not about making these differences "right"; it's about making them make sense.**

**Remember numbers, quantification, audit cultures**

***Analysis connotes the study of available facts with the attempt to draw conclusions therefrom based on established principles and sound logic. But investment is by nature not an exact science. The same is true, however, of law and medicine, for here also both individual skill (art) and chance are important factors in determining success and failure.***

**(Graham and Dodd *Security Analysis: Principles and Techniques*, [1934] 1940, 17)**

**Some work with the discounted cash flow formula (DCF), whereby a future cash flow is discounted onto the present. Some others prefer to work with other formulas, such as cash flow return on investments (CFROI), return on invested capital (ROIC), and total return to shareholders (TRS). Others focus on ratios such as the earnings per share (EPS), and the price per earnings (P/E) ratio.**

**These all yield different results (sometimes hugely so). Which one to choose and why?**

**There is no “better” calculation: they meet “market feeling” – a gut feeling, a hunch, an intuition that shapes which calculation an analyst will use. Market predictions depend on the ability to put them into a narrative structure: they are persuasive stories that, above anything else, need to make sense.**

**Financial analysts are the creators of narratives of the future, which are then used by other market participants when allocating financial resources.**

# Copeland, Koller, and Murrin (2000)

**(1) Determine the length and level of detail for the forecast.**

**(2) Develop a strategic perspective on future company performance, considering both the industry characteristics as well as the company's competitive advantages and disadvantages.**

**(3) Translate the strategic perspective into financial forecasts**

**(4) Develop alternative performance scenarios.**

**(5) Check the overall forecasts for internal consistency in alignment with your strategic perspective.(Copeland et al. 2000, 233)**

**Note: the strategic perspective (step 2) is developed before the quantitative measures (step 3) are considered. It is therefore not the calculation that serves as the basis for the narrative, but the narrative that precedes and frames the calculation**

**fundamental analysis is not so much about strict calculation as about using numbers in a creative way to support particular investment narratives – that “market feeling”**

**At Swiss Bank, analysts can come up with their own estimations or consider multiple sources. National statistical bureaus and university centers, providers such as Bloomberg and Reuters, WTO, UN, World Bank, NGOs, think tanks, blogs, etc. Also Swiss Bank has its own team of macroeconomic researchers who produce overall market estimations that analysts can use for their work.**

# Numbers do not tell stories; numbers are used to enrich previously constructed stories.

# Break

# The Search for Information

**Any kind of information, “economic” or not, can eventually affect future market developments. The financial analysis department is filled with newspapers, business reports, four standalone Bloomberg stations, stacks of reports, newspapers, magazines, and books on their desk. Of the newspapers, the Financial Times features the most frequently. Usually, the team leaders skim through the FT in the morning and pass on articles of interest to the analysts who cover a specific topic or sector. Occasionally, you also see Swiss newspapers such as the NZZ, the Agefi, and Finanz und Wirtschaft, as well as the Economist.**

**Information also is kept on the companies they cover: annual reports, corporate social responsibility reports, and advertisements sent by the companies themselves. A positive valuation is very important to the companies. Through corporate gifts, they try to establish a personal connection with the analysts.**

**Personal networks are an important source of information. Access to unconventional information helps to strengthen an individual investment narrative, which is why analysts have piles of business cards on their desks, symbols of a person's position in business and of his or her taste. The fetishizing of business cards was striking during my research because contact details can now easily be looked up online.**

# Patrick Bateman in American Psycho

# Tension

**“the search for information—laborious, uncertain, complex, and irregular—is the central experience of life in the market”**

**But also information “has a time index: it loses its clout after a period of time and then is no longer considered informative because it’s priced in”**

# Tension[2]

## What information will, might, should matter? In what time frame and in what way? Is it credible? Am I the first or only one to hear about it?

# Example 1

# Hollande in 2012

No one doubted Hollande would affect the stock market. But how? Some argued that the expected rise in taxes would harm the entire French economy. Others that he could harm the broader economic environment but boost the domestic market. The issue is not just whether new information will affect the market… but how

# Examples 2

## Fukushima and the Arab Spring

**The financial analysis department was in a state of emergency. the open-plan office became hectic, telephones started to ring, and analysts were sprinting from their workstations to the next Bloomberg station and back. No matter how poor the available information was and how embryonic a first interpretation of the event looked, such unpriced events forced financial analysts to come up with a reaction, and possibly investment advice.**

A first call involved a former US ambassador to Egypt. A second one involved a Q&A session with a former British prime minister.

These two people were not important because of their political insights, but rather because of their status as experts who could translate political events into market interpretations. Also, because analysts knew that these experts would also talk with many other market participants. This made their interpretation more applicable, because the analysts knew that their interpretation would become dominant in financial market narratives.

# Originality

**By using information sources that many other analysts also use, they reduce their chances of coming up with a forecast that is completely against the actual market trend. But analysts are aware that their forecasts also are a way of stressing their individual ability. Clients already access financial data; TVs, newspapers, and specialized magazines.**

**financial analysts have to come up with original statements and data to catch an investor’s attention and make names for themselves. As a graduate of Oxford’s politics, philosophy, and economics master’s program, William often referred to studies from political science and sociology as a way of integrating unconventional data into his reports.**

**Greg specialized in geopolitics. When tensions between Israel and Iran arose in 2011, he said there was a 70% chance of Israel striking Iran by June. *Greg did not reveal how he arrived at this figure*, but referred to his connections to the secret services; by linking a future scenario to an original source and an exact time frame, his forecast seemed more original and applicable than others.**

**Much data is collected during personal meetings and talks with experts outside Swiss Bank (hence the business card fetish). Analysts from big brands like Swiss Bank have an advantage: experts want to talk with them: government ministers, renowned academics, and CEOs of large companies.**

# Insider information

**Analysts can use only information that is also available to other market participants; otherwise it could be considered insider information.**

**As the holder of a PhD in pharmaceutics, Chris had a large pharma network; he was in charge of covering pharmaceutical companies at Swiss Bank. He knew about the research that might affect the performance of certain pharmaceutical companies. For Chris to use this for his forecasts, however, it at least had to have been published in a scientific journal or discussed at a public event. When news “broke” (possible side effects or promising outcomes), Chris would provide investors with new information.**

# The Company Report

SWISS BANK

Zurich, 25 April 2013
Food Products
Investment Horizon: 6-12+ months
Marcel Meier, Research Analyst
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Company Report

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- Eat-A-Lot's food and HPC portfolio is further gaining traction.
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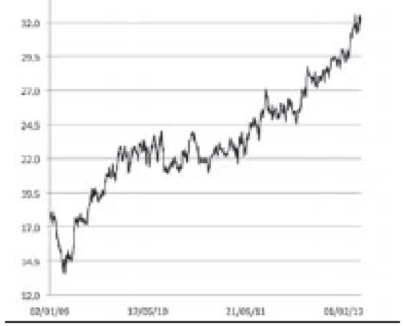

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**Figure 3.** Example of a company report (first page)

| Valuation | | | |
|---|---|---|---|
| Fiscal year-end 12/2013 | 2012A | 2013E | 2014E |
| EPS (EUR) | 1.82 | 1.98 | 2.12 |
| P/E | n.a. | 16.3 | 15.2 |
| Dividend per share (EUR) | 97.00 | 1.00 | 1.05 |
| Dividend yield | n.a. | 3.1% | 3.3% |
| Book value / share | n.a. | 6.4 | n.a. |
| Source: Swiss Bank | | | |

**Eat-A-Lot's food and HPC portfolio is further gaining traction**
We have been repeatedly positively surprised by the volume trend progression Eat-A-Lot has demonstrated in many of the past quarters, though we think it was also helped by increases in advertising & promotion expenses. Moreover, we believe that CEO Samuel Burger has significantly improved the quality and the growth profile of Eat-A-Lot's product portfolio, also with respect to brand positioning. This should sustain organic growth in Eat-A-Lot's core regions.

| Income statement | | | |
|---|---|---|---|
| EUR m | 2012A | 2013E | 2014E |
| Net sales | 49,383 | 52,161 | 54,658 |
| Sales growth | 6.3% | 5.6% | 4.8% |
| EBITDA | 8,620 | 9,262 | 9,869 |
| EBITDA-margin | 17.5% | 17.8% | 18.1% |
| Net income | 5,001 | 5,415 | 5,802 |
| Source: Swiss Bank | | | |

**Organic growth to drive operating profit margins**
We now think that Eat-A-Lot's strong organic growth should drive margin progression of at least 20 bp per year, though we continue to believe that Eat-A-Lot's operating profit margins are vulnerable with respect to input costs. Our forecasts for core operating margins are 14.3% for 2013 and 14.5% for 2014. We believe Eat-A-Lot will need to further boost advertising & promotion spending to maintain its market shares and further strengthen its brands to offset cost pressure.

| Cash flow statement | | | |
|---|---|---|---|
| EUR m | 2012A | 2013E | 2014E |
| Cash flow from operations | 6,718 | 7,200 | 7,649 |
| Cash flow (before dividends) | 5,308 | 5,715 | 6,095 |
| Total capex | 1,580 | 1,669 | 1,749 |
| Capex/sales | 3.2% | 3.2% | 3.2% |
| Source: Swiss Bank | | | |

| Balance sheet | | | |
|---|---|---|---|
| EUR m | 2012A | 2013E | 2014E |
| Operating cash | 988 | 1,043 | 1,093 |
| Net Working Capital (NWC) | -2,515 | -2,67 | -2,784 |
| Net Property, Plant & Equipment (PP&E) | 8,975 | 9,596 | 10,252 |
| Total assets | 47,438 | 51,558 | 54,637 |
| Common equity | 18,096 | 20,706 | 22,298 |
| Net debt | 5,719 | 2,814 | 934 |
| Net dept/equity | 0.3 | 0.1 | 0.0 |
| | | | |
| Source: Swiss Bank | | | |

**Eat-A-Lot faces key challenges to be substantially more successful**
Eat-A-Lot currently generates about 54.4% of sales (2013E) in emerging markets, particularly with household & personal products, and is extremely successful there, particularly in terms of product positioning. In Western Europe, however, although it has made some progress over the past few quarters with respect to market shares, the situation remains very challenging as consumer sentiment is subdued and is likely to remain so. However, we acknowledge the excellent track record Samuel Burger has and the excellent work he has done at Eat-A-Lot, but we stick to our earlier view that even he will need much more time to completely turn around Eat-A-Lot in Europe and introduce true innovation and blockbusters to boost Eat-A-Lot going forward.

Relative to industry benchmark

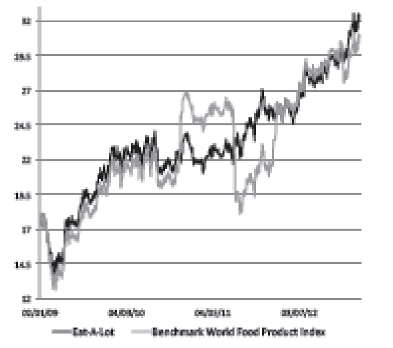


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**Figure 4.** Example of a company report (second page)

# Conclusion